



NCR ID :	NCR01166, NCR01247, NCR01273, NCR01320		
Registered Entity Name:	Alabama Power Company, Georgia Power Company, Mississippi Power Company, Southern Company Services-Trans		
Registered Entity Acronym:	APC, GPC, MPC, SCS-Trans		
Compliance Monitoring Process:	Compliance Audit		
Distribution:	Public Version. Confidential Information Has Been Removed, Including Privileged and Critical Energy Infrastructure Information.		
Regional Entity:	SERC Reliability Corporation (SERC)		
Date of Opening Presentation:	July 1, 2021	Date of Closing Presentation:	October 19, 2021
Audit Period Start Date (APC & GPC):	July 23, 2015	Audit Period End Date:	June 21, 2021
Audit Period Start Date (MPC):	March 17, 2017	Audit Period End Date:	June 21, 2021
Audit Period Start Date (SCS-Trans):	April 26, 2018	Audit Period End Date:	June 21, 2021
Date of Report:	11/30/2021	IP Year:	2021
O&P Potential Noncompliance:	None (zero)		
Jurisdiction:	United States		

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Executive Summary

SERC Reliability Corporation (SERC) conducted an off-site Operations and Planning (FERC Order 693) Standards Compliance Audit of APC, NCR ID NCR01166, NCR01247, NCR01273, NCR01320NCR01273 and SCS-Trans, NCR ID NCR 01320 from April 26, 2018 to June 21, 2021.

COVID-19 - SERC did not perform on-site validations of NERC Standards for this audit, pursuant to guidance provided by FERC and NERC in response to the COVID-19 pandemic. Please see the March 18, 2020 “FERC/NERC Provide Industry Guidance to Ensure Grid Reliability amid Potential Coronavirus Impacts” letter. The ERO Enterprise issued subsequent guidance to defer on-site audits through December 31, 2021. It is expected that during the next scheduled engagement with APC, GPC, MPC and SCS-Trans, collectively known as Southern Company (SoCo), SERC will ensure that applicable requirements are reviewed and validated on-site.

At the time of the Compliance Audit, APC, GPC and MPC were registered for the functions of Distribution Provider (DP), Generator Owner (GO) and Transmission Owner (TO). SCS-Trans was registered for the functions of Balancing Authority (BA), Planning Authority (PA), Reliability Coordinator (RC), Transmission Operator (TOP), Transmission Planner (TP) and Transmission Service Provider (TSP).

SCS-Trans was also registered for a Coordinated Function Registration (CFR), CFR00586 for the TP function, and CFR00589 for the PA/PC function.

SCS-Trans performs the RC, BA, TOP and TP functions for APC, GPC and MPC.

GPC was also registered for two CFRs, CFR00187 and CFR00554 V2 for the TO function.

The Compliance Audit team (team) evaluated SoCo for compliance with fifty five (55) NERC Reliability Standard Requirements (“Requirements”) for the 2021 Electric Reliability Organization (ERO) Enterprise Compliance Monitoring and Enforcement Program (CMEP). For APC and GPC, the team assessed compliance with the Requirements for the period of July 23, 2015 to June 21, 2021. For MPC, the team assessed compliance with the Requirements for the period of March 17, 2017 to June 21, 2021. Finally for SCS-Trans, the team assessed compliance with the Requirements for the period of April 26, 2018 to June 21, 2021.

SoCo submitted evidence for the team’s evaluation of compliance with Requirements. The team reviewed and evaluated all evidence provided to assess compliance with selected Requirements applicable to SoCo at this time.

The Compliance Audit Team Lead certifies that the team adhered to all applicable requirements of the NERC Rules of Procedure (ROP) and Compliance Monitoring and Enforcement Program (CMEP).

Compliance Audit Process

The Compliance Audit process steps are detailed in the NERC ROP. The CMEP generally conforms to the United States Government Auditing Standards and other generally accepted audit practices.

Objectives

All registered entities are subject to compliance assessments with all Reliability Standards applicable to the functions for which the registered entity is registered¹ in the Region(s) performing the assessment. The Compliance Audit objectives are designed to:

- Provide reasonable assurance of compliance to the identified applicable Requirements
- Review APC, GPC, MPC, SCS-Trans's internal compliance program and controls

Scope

The scope of this Compliance Audit considered the NERC Reliability Standards from 2021 ERO Enterprise CMEP Implementation Plan and an Inherent Risk Assessment (IRA) of SoCo completed by SERC.

The Reliability Standards and Requirements in-scope for this Compliance Audit are illustrated in Table 2: Compliance Audit Scope.

Table 2: Compliance Audit Scope (APC)		
Registered Function	Standards	Requirement(s)
GO,TO	FAC-003-4	R1, R3, R6, R7
GO,TO	FAC-008-3	R6
DP,GO,TO	PRC-023-4	R1, R2
GO	PRC-024-2	R1, R2
DP,GO,TO	PRC-025-2	R1
GO	VAR-002-4.1	R5, R6

The team did not expand the scope of APC Compliance Audit beyond what was stated in the notification package.

Table 2: Compliance Audit Scope (GPC)		
Registered Function	Standards	Requirement(s)
DP,GO,TO	EOP-004-4	R1, R2
DP, TO	EOP-005-3	R9
GO,TO	FAC-008-3	R6
DP,GO,TO	PRC-005-6	R1, R2, R3, R4
DP,GO,TO	PRC-006- 5	R9
DP,GO,TO	PRC-023-4	R1, R2
GO	PRC-024-2	R1, R2
DP,GO,TO	PRC-027-1	R1, R3
GO	VAR-002-4.1	R5, R6

¹ [NERC ROP, Appendix 4C, Section 3.1, Compliance Audits.](#)

The team expanded the scope of GPC Compliance Audit beyond what was stated in the notification package. The audit scope was expanded to include PRC-005-6 R1, R2 and R4. This expansion is due to the Performance Base Maintenance evidence presented in PRC-005-6 R3. Therefore additional evidence was needed for clarification.

Table 2: Compliance Audit Scope (MPC)		
Registered Function	Standards	Requirement(s)
DP,GO,TO	EOP-004-4	R1, R2
DP, TO	EOP-005-3	R9
GO,TO	FAC-008-3	R6
TO,GO,DP	PRC-004-6	R1, R5
DP,GO,TO	PRC-005-6	R1, R2, R3, R4
TO,GO,DP	PRC-006-5	R9
DP,GO,TO	PRC-023-4	R1, R2
TO,GO,DP	PRC-025-2	R1
DP,GO,TO	PRC-027-1	R1, R3

The team expanded the scope of MPC Compliance Audit beyond what was stated in the notification package. The audit scope was expanded to include PRC-005-6 R1, R2 and R4. This expansion is due to the Performance Base Maintenance evidence presented in PRC-005-6 R3. Therefore additional evidence was needed for clarification.

Table 2: Compliance Audit Scope (SCS-Trans)		
Registered Function	Standards	Requirement(s)
BA,RC,TOP	COM-002-4	R6
RC	IRO-008-2	R2
TP	MOD-026-1	R1
TP	MOD-027-1	R1
PC,RC,TOP	MOD-033-2	R1, R2
PC	PRC-023-4	R6
BA,TOP	TOP-001-5	R13
TP,PC	TPL-001-4	R2.1.5, R5

The team did not expand the scope of SCS-Trans Compliance Audit beyond what was stated in the notification package.

Internal Compliance Program

Within the scope of the Compliance Audit, APC, GPC, MPC, SCS-Trans's compliance program was reviewed.

Controls

The team reviewed APC, GPC, MPC, SCS-Trans's related internal controls associated with Requirements in scope.

Confidentiality and Conflict of Interest

Confidentiality and conflict of interest of the team are governed under the Regional Delegation Agreements with NERC, and Section 1500 of the NERC ROP.² APC, GPC, MPC, SCS-Trans was informed of SERC's obligations and responsibilities under the agreement and procedures. The work history for each team member was provided to APC, GPC, MPC, SCS-Trans, which was given an opportunity to object to a team member's participation on the basis of a possible conflict of interest or the existence of other circumstances that could interfere with a team member's impartial performance of duties. APC, GPC, MPC, SCS-Trans had not submitted any objections by the stated objection due date based on the ROP and accepted the team member participants without objection. There were no denials or access limitations placed upon this team by APC, GPC, MPC, SCS-Trans.

Methodology

The ERO Compliance Monitoring and Enforcement Manual (Manual) documents the ERO Enterprise's current approaches used to assess a registered entity's compliance with the NERC Reliability Standards. The ERO Enterprise uses, "to the extent possible, the Generally Accepted Auditing Standards (GAAS), the Generally Accepted Government Auditing Standards (GAGAS), and standards sanctioned by the Institute of Internal Auditors, as guidance for performing activities under the Compliance Monitoring and Enforcement Program (CMEP)."³ While the ERO Enterprise does not necessarily perform compliance monitoring activities that must be in accordance with these standards recognized in the United States, the ERO Enterprise uses these standards as framework to conduct compliance monitoring activities under the CMEP, and recognizes that these standards provide information used in oversight, accountability, transparency, and improvements in ERO Enterprise operations.

SERC provided APC, GPC, MPC, SCS-Trans with a Compliance Audit notification package to commence the Compliance Audit. APC, GPC, MPC, SCS-Trans provided evidence at the time requested, or as agreed upon, by SERC Reliability Corporation (SERC). The team reviewed the evidence submitted by APC, GPC, MPC, SCS-Trans and assessed compliance with the applicable Requirements. Additional evidence could be submitted until the agreed-upon deadline prior to the exit briefing. After that date, only data or information that was relevant to the content of the report or its finding could be submitted with the agreement of the team lead.

The team reviewed documentation provided by APC, GPC, MPC, SCS-Trans and requested additional evidence and sought clarification from subject matter experts during the Compliance Audit. The evidence submitted in the form of policies, procedures, emails, logs, studies, data sheets, etc. were validated, substantiated, and cross-checked for accuracy as appropriate. Where sampling is applicable to a Requirement, the sample set was determined by a statistical methodology, along with professional judgment as mentioned in the Manual.

The findings were based on the facts and documentation reviewed, the team's knowledge of the Bulk Electric System (BES), the NERC Reliability Standards, and professional judgment. All findings were developed based upon the consensus of the team.

² [See NERC ROP](#)

³ [NERC ROP, Section 1207 and 126 FERC 61,038, Paragraph 3](#)

Company Profile

Southern Company, headquartered in Atlanta, Georgia, is a leading energy company safely and reliably serving 9 million customers in 38 states through seven electric and natural gas utilities. Southern Company Services, Inc., together with the three retail electric operating companies (Alabama Power Company, Georgia Power Company and Mississippi Power Company) owns and operates an integrated transmission system in the SERC southeastern sub-region that contains about 27,000 miles of transmission lines, 3,700 substations and 67 physical tie-lines with neighboring entities. Historically, the Southern system is a summer peaking system with an all-time peak of 48,008 MW recorded during the summer of 2007. Southern Company Services, Inc., together with the three retail electric operating companies also owns, operates and/or manages through Power Purchase Agreements more than 48,000 MW of generating capacity.

Compliance Audit Findings

Based on the results of this Compliance Audit, no findings were noted for the applicable Requirements in-scope for this engagement.

Recommendations and Positive Observations

Recommendations

There were two (2) recommendations made by the team during the engagement.

FAC-008-3 R6 – Consider implementing a standardized Facility Ratings Change Management process and Internal Controls for APC, GPC, and MPC.

FAC-008-3 R6 – Consider implementing a standard Facility Rating database for APC, GPC, and MPC moving away from the current spreadsheet format to reduce the human performance errors associated with spreadsheets.

Positive Observations

The team identified and informed APC, GPC, MPC, SCS-Trans of three (3) positive observations. The specific details of each positive observation are described below:

PRC-005-6 R3 -The Mississippi Power Company and Georgia Power Company Generation department provided quality evidence, and supporting documentation. The information was well organized and presented in a manner that assisted the team with their PRC-005-6 evidence review during the audit.

General -The use of multiple media to store and maintain Emergency Procedures is considered by the audit team to be a best practice. This affords the operator quick access to critical procedures and reflects SoCo's commitment to operate the BPS in a secure and reliable manner.

General - Southern Company communicated very effectively with the audit team during the compliance engagement and this is a reflection of their professionalism and commitment to the overall compliance culture.

Compliance Culture

SERC Reliability Corporation (SERC) performed an assessment of APC, GPC, MPC, SCS-Trans's compliance culture in conjunction with the Compliance Audit process. The assessment was accomplished through a review of responses SERC's inherent risk assessment questions and additional information that was gathered during interviews and observations. This included an assessment of factors that characterize vigorous and effective compliance programs including:

- Culture of Reliability and Security;
- Active engagement and leadership by senior management;
- Effective, in-practice preventive measures appropriate to the circumstances of the company;
- Prompt detection of problems, cessation of misconduct, and reporting of a violation; and
- Remediation of the misconduct.

SERC Reliability Corporation (SERC) Contact Information

Any questions regarding this Compliance Audit report can be directed to:

SERC Reliability Corporation
3701 Arco Corporate Drive, Suite 300
Charlotte, NC 28273

On behalf of SERC Reliability Corporation (SERC), this report was prepared and reviewed by:

Compliance Audit Team Lead	Date
O&P Auditor	11/30/2021
Management Representative	Date
Manager Operations and Planning Monitoring	11/30/2021

Appendix 1

Compliance Audit Participants

Appendix Table 1: Compliance Audit Team and Appendix Table 2: APC, GPC, MPC, SCS-Trans Participants list all personnel from the team and APC, GPC, MPC, SCS-Trans who were directly involved during the meetings and interviews.

Appendix Table 1: Compliance Audit Team		
Role	Title	Entity
Compliance Audit Team Lead	Senior Compliance Auditor	SERC
Team Member	Compliance Auditor	SERC
Team Member	Compliance Auditor	SERC
Team Member	Compliance Auditor	SERC
Team Member	Compliance Auditor	SERC
Team Member	Senior Compliance Auditor	SERC

Appendix Table 2: SoCo Participants	
Title	Entity
Compliance Director	Southern Company Services (SCS) - Operations Compliance
Reliability Standards Compliance Assurance Manager	SCS - Operations Compliance
Internal Controls Project Manager	SCS - Operations Compliance
Compliance Coordinator	SCS - Operations Compliance
Compliance Coordinator	SCS - Operations Compliance
Generation Data & Compliance Manager	SCS - SCG Fleet Operations
Project Manager	SCS - Transmission Planning
Senior Engineer	SCS - Transmission Planning
Planning Manager	SCS - Transmission Planning
Transmission Planning Manager	SCS - Transmission Planning
Project Manager	SCS - Transmission Planning
Principal Engineer	SCS - Transmission Planning
Engineering Manager	SCS- Technical Services – ERO Support
Principal Engineer	SCS - Technical Services – ERO Support
Transmission Compliance Manager	SCS - Bulk Power Operations
Senior Engineer	SCS - Bulk Power Operations
Senior Engineer	SCS - Bulk Power Operations
Operations General Manager	Georgia Power Company (GPC) - Power Delivery Operations
Compliance Manager	GPC - Power Delivery Compliance
Compliance Coordinator	GPC - Power Delivery Compliance
Compliance Coordinator	GPC - Power Delivery Compliance
Compliance Coordinator	GPC - Power Delivery Compliance

Appendix Table 2: SoCo Participants

Title	Entity
Compliance Coordinator	GPC - Power Delivery Compliance
Power Delivery Compliance Manager	Alabama Power Company (APC) - Power Delivery Compliance & Support
Compliance Coordinator	APC - Power Delivery Compliance & Support
Senior Engineer	Southern Nuclear Operating Company (SNC) - Nuclear Licensing
Operations Compliance Assurance Manager	Southern Company Services
Reliability Coordination Manager	Southern Company Services
System Operations Supervisor	Southern Company Services
Compliance Coordinator	
Compliance Coordinator	Alabama Power Company
Project Manager	Georgia Power Company
Sr. System Operator	Southern Company Services
Transmission Compliance Manager	Southern Company Services
Principal System Operator	Southern Company Services
Principal System Operator	Southern Company Services
Principal System Operator	Southern Company Services
Transmission Control Center Support Manager	Alabama Power Company
Control Center Manager	Mississippi Power Company
Transmission Control Center Supervisor	Alabama Power Company
Transmission Control Center Operations Manager	Alabama Power Company
Power System Coordinator	Alabama Power Company
Senior Engineer	Georgia Power Company
Power Delivery Operations Manager	Mississippi Power Company
Power Delivery Senior Vice President	Southern Company Services
Protection & Control Field Services Manager	Georgia Power Company
Nuclear Licensing Director	Southern Nuclear
Vegetation Manager	Alabama Power Company
Senior Engineer	Alabama Power Company
Electrical Support Generation Manager	Southern Company Services
Protection & Control Application Supervisor	Alabama Power Company
Compliance & Concerns Manager/Asst. Secretary	Mississippi Power Company
Protection & Control Application Supervisor	Southern Company Services
System Operations Manager	Southern Company Services
Power System Coordinator	Alabama Power Company
Protection & Control Application Supervisor	Southern Company Services
Senior Engineer	SCS - Bulk Power Operations
Chief Engineer	Southern Company Services
Transmission General Manager	Mississippi Power Company
Operations Support Supervisor	Georgia Power Company
System Operations Manager	Alabama Power Company
Balancing Authority Manager	Southern Company Services

Appendix Table 2: SoCo Participants	
Title	Entity
Senior Engineer	Southern Company Services
Vegetation Manager	Alabama Power Company
Bulk Power Operations Generation Manager	Southern Company Services
Principal Engineer	Southern Company Services
Principal Engineer	Southern Company Services